What is a TFSA?

The Tax-Free Savings Account (TFSA) is Canada's most flexible registered account. Every Canadian resident aged 18+ accumulates contribution room every year. All investment growth, dividends, and capital gains inside a TFSA are completely tax-free — forever.

A TFSA is NOT just a savings account. It is a powerful investment account. Hold growth ETFs and Canadian stocks inside it to maximize the tax-free compounding benefit.

Contribution Limits — Annual & Cumulative

Year(s)	Annual Limit	Cumulative Total Since 2009
2009–2012	$5,000/yr	$20,000
2013–2014	$5,500/yr	$31,000
2015	$10,000	$41,000
2016–2018	$5,500/yr	$57,500
2019–2022	$6,000/yr	$81,500
2023	$6,500	$88,000
2024	$7,000	$95,000
2025	$7,000	$102,000
2026	$7,000	$109,000 (est.)

Room accumulates every January 1. You only get room for years you were a Canadian resident aged 18+. Check your exact room on CRA My Account — never guess.

TFSA Rules You Must Know

Rule	What It Means
Withdrawals restore room	Any amount you withdraw in 2026 is added back to your room on January 1, 2027 — not immediately
No income tax on growth	Capital gains, dividends, interest — all completely tax-free inside the TFSA, no reporting needed on T1

Rule	What It Means
Over-contribution penalty	1% per month on the over-contribution amount. CRA tracks this automatically via T-slips
Non-resident contributions	If you become a non-resident, you stop accumulating new room. Existing TFSA can stay but new contributions = 1%/month penalty
US dividend withholding	IRS withholds 15% on US dividends inside a TFSA — unrecoverable. Hold US dividend stocks in RRSP instead
No attribution rules	Contribute to your spouse's TFSA — no attribution. Their growth is truly theirs.
Death — successor holder	Name your spouse as “successor holder” — the TFSA transfers intact, tax-free, no estate process
Beneficiary vs successor	Beneficiary gets the cash but growth after death is taxable. Successor holder gets the full TFSA tax-free

Tax Implications — TFSA

Income Type	Inside TFSA	Outside TFSA (comparison)	CRA Reporting
Capital Gains	0% — tax-free	50% inclusion × marginal rate	None required
Canadian Eligible Dividends	0% — tax-free	~15–25% after dividend tax credit	None required
US/Foreign Dividends	15% withheld by IRS — gone	15% WHT + partial T2209 credit	None required
Interest Income	0% — tax-free	Taxed at full marginal rate	None required
DRIP Shares	0% — tax-free forever	ACB adjustments required	None required

No T3, T5, or T5008 slips are issued for income inside a TFSA. You do not report TFSA income on your T1 return — ever.

Best Investments for Your TFSA

Investment Type	Suitable?	Reason
Canadian growth ETFs (XEQT, VGRO, VFV)	Excellent	Tax-free compounding on high growth. No capital gains tax on large future gains.
Canadian dividend ETFs (VDY, HDIV, XDIV)	Good	Dividends are tax-free inside TFSA. Less benefit than RRSP for pure yield but still great.
US dividend stocks (KO, JNJ, MCD)	Avoid	15% IRS withholding is unrecoverable in TFSA. Move these to RRSP.
US ETFs (SPY, QQQ)	Avoid	Same withholding problem. Use TSE-listed equivalents like VFV instead.
GICs and bonds	OK	Interest is tax-free, but a wasted opportunity — better for higher-growth assets.
Speculative single stocks	Caution	Losses inside TFSA cannot be claimed. Save speculation for non-registered accounts.

How to Log TFSA Transactions in the Tracker

Transaction	Account Col	Type Col	Other Fields
Deposit money	TFSA	Contribution	Amount in Col K. No ticker needed.
Withdraw money	TFSA	Withdrawal	Amount in Col K. Room restores Jan 1 next year.
Buy ETF or stock	TFSA	Buy	Ticker (TSE:VFV), Shares, Price/Share
Sell ETF or stock	TFSA	Sell	Ticker, Shares sold, Sale price
Cash dividend	TFSA	Dividend	Ticker (optional), Amount in Col K
DRIP (reinvested div)	TFSA	DRIP	Ticker, New shares received, Price/Share

For educational purposes only. Not financial or tax advice. Always verify current TFSA rules and dollar limits on canada.ca before making financial decisions.